

# "Case Study: Premium Jewelry Brand Launch — Meydan Free Zone"

## Overview

| PARAMETER           | DETAIL                                                                                                                |
|---------------------|-----------------------------------------------------------------------------------------------------------------------|
| Industry            | Gold & Precious Stones Trading, Jewelry Manufacturing & Retail                                                        |
| Jurisdiction        | Meydan Free Zone, Dubai, UAE                                                                                          |
| Regulatory category | DNFBP (Designated Non-Financial Business or Profession)                                                               |
| Complexity          | High — multi-activity license, international supply chain, crypto payments                                            |
| Timeline            | 8 weeks (first contact to fully operational)                                                                          |
| Services delivered  | License architecture, DNFBP pre-approval, SIRA inspection, banking, crypto integration, international trade structure |

## Client Brief

The client planned to launch a premium jewelry brand with a global business model:

- Source** gold and precious stones in UAE
- Export** raw materials to Armenia for manufacturing
- Produce** finished jewelry at a partner factory
- Import** finished products back to UAE
- Sell** globally via e-commerce
- Accept** cryptocurrency payments legally (BTC, ETH, USDT)

The project combined multiple regulatory challenges: DNFBP classification (highest compliance tier), international precious goods logistics, and crypto payment integration — all within a single company structure.

## Challenge

### Why this case was complex

**1. DNFBP Classification** Gold and precious stones trading falls under DNFBP — Designated Non-Financial Businesses and Professions. This category requires:

- Pre-approval before license issuance
- Full AML/CFT compliance framework from day one
- Ongoing reporting obligations
- Enhanced due diligence requirements
- Most UAE banks apply additional scrutiny or decline DNFBP applications outright

**2. Multi-Activity License Architecture** The business model required five distinct activities under a single license — each with different compliance implications. Incorrect activity selection would either limit operations or trigger unnecessary regulatory requirements. **3. International Supply Chain** Exporting precious goods from UAE, manufacturing abroad, and re-importing finished products requires:

- Licensed secure logistics operators

- Proper customs and trade documentation
- Compliance with AML requirements at every transfer point
- Correctly structured manufacturing agreements

**4. Crypto Payment Integration** Accepting cryptocurrency in UAE without a VARA license requires specific structuring through licensed payment processors. The model must ensure the company receives fiat while customers pay in crypto. **5. Banking** A DNFBP company with an international production model and crypto exposure is among the most challenging profiles for UAE corporate banking. Estimated rejection rate at first attempt without proper preparation: ~80%.

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## WTP Approach

### Step 1: Banking-First Assessment

Before any registration, we:

- Mapped the client's full business model and risk profile
- Identified 3 banks known to accept DNFBP profiles with this activity mix
- Pre-structured the business description to address compliance questions proactively
- Prepared Source of Funds documentation aligned with bank expectations
- Determined the optimal activity combination that satisfied business needs without triggering unnecessary red flags

**Decision:** Proceed — profile is bankable with proper preparation.

### Step 2: Jurisdiction Selection

Meydan Free Zone was selected based on:

- Support for DNFBP activities (gold, precious stones)
- Competitive cost structure for the activity mix
- Speed of processing for complex license applications
- Track record with jewelry and luxury goods businesses

### Step 3: License Architecture

Final activity configuration:

| # | ACTIVITY                                  | PURPOSE                       |
|---|-------------------------------------------|-------------------------------|
| 1 | Wholesale of Gold & Other Precious Metals | Sourcing raw materials in UAE |
| 2 | Wholesale of Precious Stones              | Sourcing gemstones            |
| 3 | Jewellery Trading (retail & wholesale)    | B2B and B2C sales             |

| # | ACTIVITY                          | PURPOSE                                |
|---|-----------------------------------|----------------------------------------|
| 4 | E-commerce / Online Trading       | Global online sales channel            |
| 5 | DNFBP Registration (pre-approval) | Regulatory requirement for gold/stones |

#### Step 4: DNFBP Compliance

- Submitted full AML/CFT compliance framework for pre-approval
- Appointed MLRO (Money Laundering Reporting Officer)
- Documented internal policies: CDD, EDD, STR filing, record-keeping, training
- Passed DNFBP pre-approval review

#### Step 5: SIRA Inspection

Security Industries Regulatory Agency (SIRA) inspection was mandatory:

- Physical security assessment
- Storage protocols for precious goods
- Operational security procedures
- Access control documentation

#### Step 6: International Trade Structure

- Engaged licensed secure logistics operators for precious goods transport (UAE → Armenia)
- Structured manufacturing agreement with Armenian partner factory
- Documented re-import procedures for finished jewelry (Armenia → UAE)
- Verified compliance with international trade and AML requirements at each point

#### Step 7: Crypto Payment Integration

Implemented legal crypto acceptance through licensed payment processors:

- **Model:** Customer pays in BTC/ETH/USDT → Processor converts to fiat → Company receives AED/USD
- **Providers evaluated:** BitPay, Binance Pay, Fuze
- **Regulatory status:** No VARA license required (company does not hold, trade, or custody crypto)
- **Compliance:** Fully aligned with UAE Central Bank regulations

#### Step 8: Banking

- Submitted prepared application to pre-selected bank
  - Provided structured business description addressing DNFBP compliance, international model, and crypto processing
  - Supported the bank's due diligence process with pre-prepared documentation
  - Account opened
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## Result

**Timeline:** 8 weeks from first contact to fully operational business **Delivered:**

- Licensed company in Meydan Free Zone with 5 activities
  - DNFBP pre-approval and full compliance framework
  - SIRA security clearance
  - Corporate bank account at a top-tier UAE bank
  - Legal cryptocurrency payment acceptance (BTC, ETH, USDT)
  - Structured international production model (UAE → Armenia → UAE)
  - Global e-commerce sales capability
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## Key Takeaways

1. **Banking-first saved weeks.** Pre-assessing bankability before registration prevented wasted time on a structure that might not get a bank account.
  1. **Activity mix matters.** The wrong combination of activities could have triggered additional regulatory requirements or limited the business model.
  1. **DNFBP is not a blocker — it's a process.** With proper compliance preparation, DNFBP companies can open bank accounts and operate normally. The key is doing the compliance work upfront, not after registration.
  1. **Crypto is legal in UAE — with the right structure.** Using licensed payment processors for crypto-to-fiat conversion keeps the company outside VARA's regulatory scope while enabling crypto acceptance.
  1. **International structures need documentation.** Every point in the supply chain — export, manufacturing, import — must be documented and compliant. This isn't optional; it's what banks and regulators verify.
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## Partner Relevance

This case is relevant for partners who have clients in:

- Luxury goods and jewelry
- Gold and precious metals trading
- International manufacturing with UAE base
- E-commerce businesses requiring complex payment solutions
- Any DNFBP-classified business seeking UAE presence

**Referral scenario:** Partner's client wants to set up a precious goods business in UAE. Partner refers to WTP for execution. WTP handles licensing, compliance, banking, and structure. Partner maintains the advisory relationship.

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*WTP — UAE Execution Partner Banking-first. Compliance-first. Structure-first.*

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